

left. Maybe \$1 million. (The numbers are never precise, never sure.) On \$1 million per year you can live like a rich S.O.B. Less than that and you have to make do, watch expenses, and live on a budget (even if it is a large budget).

But who cares? We're not really concerned with living like rich people. And planning for a family fortune is nothing like planning for a specific objective such as retirement. If you are preparing your retirement funds, the rule of thumb is that you need to save about eight times your annual salary. That is supposed to leave you with an annual income of about 80 percent of your income when you were working.

The math is a little funny, because it involves a drawdown of capital. At 4 percent interest, eight times your salary will result in about only a third of your salary. But then, you're not trying to leave the money to your children, so you can spend capital as well as earnings, based on how long you think you and your money will hold out.

When you are planning for a family fortune, however, there is no question of spending capital. You cannot spend it; it no longer belongs to you. Even if it still belongs to you legally, if you think of it as spendable, personal money, it won't remain "family money" for very long.

That's why, in our previous example, we have to reduce the earnings by losses to inflation. If you earn 4 percent on your money, you can't spend 4 percent. You can spend only the portion of earnings that is above and beyond inflation. So if the inflation rate is 3 percent, you have to put back 3 percent each year just to stay even with it. That leaves you 1 percent to spend.

But wait. You're taxed on the whole 4 percent. So you have to pay the tax and then put back 3 percent to cover the inflation loss. As you can see, this is a losing proposition. That's why our calculation, earlier in this chapter, showed that you need a gross return of about 8.3 percent just to stay even! Which is why bonds are a losing proposition. And so are most stocks.

Hmmm . . . do you see what we see? You could have \$100 million in the bank and get nothing from it. Nothing. If you were committed to preserving the family capital, you could spend only the amount in excess of 8.3 percent. And it is almost impossible to earn more than 8.3 percent. So even if you had \$100 million in the bank today, and you followed the logic of our